

stop to that practice. Any instance of such behaviour is flagged, and warnings or penalties follow. This feature is now fully operational across Yulu's fleet of 18,000 bikes in Bengaluru.

REINVENTION

Yulu's ride to strong growth wasn't straight. In 2020, as the world grappled with the Covid-19 pandemic, Yulu's future seemed uncertain. Having launched in 2018 with an aim to provide first-mile and last-mile connectivity in cities, the company's operations came to a near halt during the lockdown. Revenue plummeted to almost zero, and it had about 400 on-ground employees—mechanics, battery swappers, and others—who were forced to idle away at home. The bikes didn't come with chargers back then, and the battery swapping personnel had to collect them, charge them at central facilities, and return them to the designated Yulu zones.

64 | Around that time, food delivery companies like Swiggy and Zomato were facing a human resource crunch, as many delivery agents had returned to their hometowns during the lockdowns.

"We were getting a lot of calls from these companies," recalls Gupta. "So, we thought, why not repurpose our employees as delivery agents instead of letting them go?"

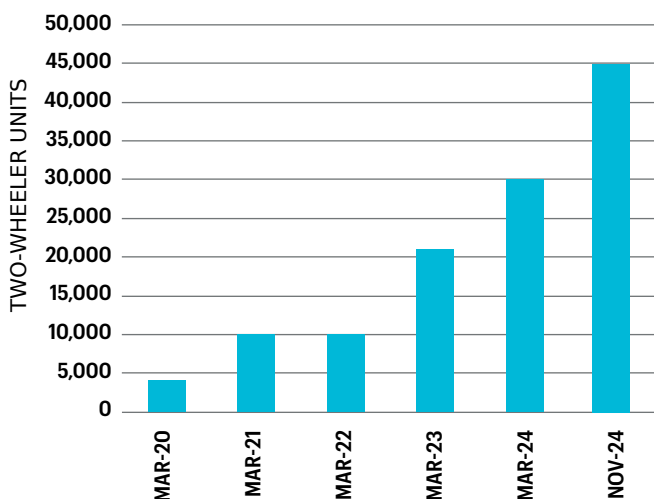
And just like that, the idea took shape. Rather than cutting jobs, Yulu handed its staff chargers so they could power the bikes at home and pivoted to delivery services. That became a game-changer for Yulu, which today boasts of 45,000 electric bikes across India, and most of them are deployed in the quick commerce segment. "We started seeing a V-curve, and from almost zero revenue, we reached pre-Covid-19 numbers within three months," says Tewari.

But then they came up against another hurdle: a cash crunch. In late 2019, Yulu secured \$8 million (about ₹52 crore) in funding from institutional investors like 3One4 Capital and Blume Ventures and corporate investors like Bajaj Auto. But after the pandemic hit, that capital evaporated quickly, recalls Gupta.

"So, while we were doing well, there wasn't enough money to buy more bikes. Venture capitalists were saying the world had changed, and the business didn't

ON THE MOVE

- Yulu has increased the number of two-wheelers from about 4,000 in 2020 to about 45,000 now
- This has been attributed to the rising use of Yulu bikes by delivery personnel



NOTE DATA AS OF MARCH EVERY YEAR. AS OF NOVEMBER 2024, YULU HAD 45,000 BIKES **SOURCE** COMPANY

look lucrative anymore," adds Tewari. But there wasn't enough evidence yet for investors to commit.

Things started looking up in June 2020 when Yulu managed to raise an additional \$2.5 million (about ₹16 crore). The firm's fortunes began to improve, and in 2021, Bajaj Auto, an early backer, stepped in with what proved to be a game-changing offer.

At that time, 70% of Yulu's bike components were imported, mostly from China. Bajaj gave Yulu two choices: continue with the Chinese model or start afresh with a fully Indian-made product, designed by Bajaj. Over time, Bajaj has reinforced its faith in Yulu by increasing its stake, which stands around 19% at present.

Bajaj's pact with Yulu marked a big difference as the vehicles were designed keeping in view Indian roads and now, the delivery model. "In the earlier versions of the Dex bike, there was no rear carrier, no taillight, and the product had several structural issues, which we have since addressed," explains Gupta.

Yulu's focus on growth has helped it increase its